IN THE ADMINISTRATIVE APPEALS TRIBUNAL
PERTH REGISTRY
GENERAL DIVISION **AAT No. 2023/3361**

BETWEEN: **SIMON REID**

Applicant

AND:

COMMISSIONER OF THE NDIS QUALITY AND SAFEGUARDS COMMISSION

Respondent

APPLICANT'S STATEMENT OF FACTS, ISSUES AND CONTENTIONS

Nature of Application

1. The decision subject of review in this application is a reviewable decision of the Respondent, dated 21 April 2023 (**Decision Letter**). It can be found at T document 64.1.

2. The Decision Letter was a decision pursuant to section 100 of the *National Disability Insurance Scheme Act 2013* (Cth) (**NDIS Act**).

3. The Decision Letter decided that the Applicant was not suitable to be involved in the provision of supports or services to people with disability of the National Disability Insurance Scheme (**NDIS**), pursuant to section 73ZN(2)(a)(iii) of the NDIS Act.

4. The ultimate consequence of the Decision Letter was to amend the banning order originally made against Mr Reid under section 73ZN(2)(a)(iii).

5. There are three applicants to this matter, being Ms Vida Reid (2023/3361), Simon Reid (2023/3363) and Forward Focused Group Pty Ltd (2023/4494).

6. The matters were joined as per Deputy President Mischin's Directions dated 19 July 2023.

7. This Statement of Facts, Issues and Contentions relates to Mr Simon Reid's application to the Tribunal only.

Contentions of the Applicant, Mr Reid

8. In summary Mr Reid contends or submits the following:

   (a) the Decision Letter corrects identifies a number of deficiencies with the original decision;

   (b) the Decision Letter fails to make any reference to, or have regard to, any matters prescribed by the NDIS rules for the purposes of subparagraph 73ZN(2)(iii), as necessary under section 73ZN(2)(a)(iii);

   (c) Mr Reid challenges the Decision Letter on various grounds including:

      i. its main finding was on grounds that now no longer existent; and

      ii. there is little or no reliable evidence adverse to Mr Reid;

   (d) Mr Reid contends he has done nothing wrong and there is little or no reliable evidence adverse to Mr Reid before the Tribunal. There is no justification for banning Mr Reid from being involved in the provision of supports or services to people with disability;

   (e) the Respondent's investigation and evidence ultimately provided to the Tribunal is suspect in the sense that:

      i. the Respondent appears to have conducted itself with adversarial bias against Mr Reid in the course of its investigation and the evidence it has provided and has not provided the Tribunal;

      ii. the Tribunal has not been provided with all the relevant evidence in the Respondent's possession or custody;

      iii. only the directors of the relevant companies have been targeted by the Commission and not any other person or persons, despite the terms of section 73ZN(2)(a)(iii); and

   (f) the current banning order is excessively wide and unreasonable.

Statutory Framework

9. Section 73ZN(2) of the NDIS Act gives the Commissioner the discretion to make a banning order prohibiting or restricting a person employed or otherwise engaged by a NDIS provider:

   '*The Commissioner may, by written notice, make an order prohibiting or restricting a person who is or was employed or otherwise engaged by an NDIS*

provider, or a person who is or was a member of the key personnel of an NDFIS provider, from engaging in specified activities if:

(a) the Commissioner reasonably believes that:

(i) the person has contravened, or is contravening, or is likely to contravene this Act; or

(ii) the person has been involved in, or is likely to become involved in, a contravention of this Act by another person; or

(iii) the person is not suitable to be involved in the provision of supports or services to people with disability, having regard to any matters prescribed by the National Disability Insurance Scheme rules for the purposes of this subparagraph; or

(iv) there is an immediate danger to the health, safety or wellbeing of a person with disability if the person continues to engage in the specified activities; or

(b) the person is convicted of an offence involving fraud or dishonesty; or

(c) the person becomes an insolvent under administration.'

(Emphasis added)

Deficiencies with the original decision

16. The Decision Letter concludes that there were a number of the erroneous or wrong findings of the original NDIS decision in relation to Mr Reid's involvement in the two companies in question and the invoicing the of NDIS for services allegedly not provided.[1] Such as making findings against him, when he was not a director at the relevant time.[2]

The Decision Letter and the NDIS rules

17. As noted above, a banning order is in place against Mr Reid. This order was made under section 73ZN(2)(a)(iii) which enables such an order to be made where "*the person is not suitable to be involved in the provision of supports or services to people with disability, having regard to any matters prescribed by the National Disability Insurance Scheme rules[3] for the purposes of this subparagraph"*.

[1] T Documents T64.1 p1342
[2] See for example the T Documents at p 1342 paragraph 32 of the Decision Letter.
[3] Our emphasis.

18. However, the Decision Letter fails to make any reference to, or indicate in any way, that the NDIS Rules and the matters prescribed by those rules were taken into account, or had regard to, as necessary under section 73ZN(2)(a)(iii) when making its decision vis-à-vis Mr Reid.

19. The said NDIS Rules have also not been produced to the Tribunal by the Respondent.

The reasons for the current banning order – Mr Reid's response

20. In summary the Decision Letter refers to 5 grounds or reasons justifying the banning order it imposed/varies on Mr Reid. Each of those are dealt with in turn below.

Meghan Goodwin

21. The Decision Letter refers to a Statement of Material Facts dated 19 October 2022 filed in the now defunct criminal proceedings against Mrs Reid, as containing information relevant to the assessment of Mr Reid's suitability, in particular in relation to a company called Zettai Pty Ltd and a Ms Meghan Goodwin.

22. The Commission claimed Zettai Pty Ltd (trading as Assist Plan Manager) (**APM**) submitted claims to NDIA for services provided to Ms Meghan Goodwin that were in fact never provided. APM was paid by NDIS for the 'services' and the money was subsequently transferred to Hybrid Hive.

23. Because Mr Reid was a co-signatory to Hive's bank accounts the Commissioner concluded he was a recipient of proceeds of crime.[4] This was notwithstanding no evidence appears to have been considered as to who created the claims in question, who transfer the funds, why they transferred them to Hybrid Hive and whether Mr Reid was aware of any of these matters.

24. The Decision Letter noted Mr Reid was not a director of FFG at the relevant time and refers to a NDIA 'Tactical Intelligence Report' dated 18 August 2022, that stated it was not known what proportion of services in questions where in fact provided.

25. Ultimately, the Decision Letter does not seem to have decided Mr Reid's involvement or culpability in relation to this allegation.[5]

26. It is unfortunate the Decision Letter is not clearer as to what is the final decision.

27. In any event, Mr Reid says he was not involved in the above matters and was unaware of them.

[4] T Documents, T64.1 p 1340
[5] Ibid at p1340

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28. Notably, Ms Goodwin, states *"Simon never was involved with providing the services"*.[6]

Sarah-Jane Clulow

29. There was another allegation in the Decision Letter that FFG made fraudulent claims in relation to the NDIS plan of Sarah-Jane Clulow. The Decision Letter states that Mr Reid was not a director of FFG at the time and therefore *"this conduct cannot reasonably or appropriately be attributed to Mr Reid".*[7]

30. In any event, Mr Reid says he was not involved in the provision services to Ms Clulow or billing NDIS in relation to her.

Hybrid Hive Pty Ltd

31. The Commission alleged Hybrid Hive submitted claims against NDIS participants plans but where there were no service agreements in place. The claims occurred without participant consent or knowledge. False claims were submitted where supports or services were not provided.[8]

32. The Decision Letter refers to 3 witness statements as examples in relation to the allegation:

    (a) Gina Regali dated 11 October 2022;

    (b) Hrimnir Benediktsson dated 12 October 2022; and

    (c) Jessica Rose Smith dated 14 October 2022.

33. But when one takes a closer look at these statements, they are not adverse to Mr Reid.

34. Ms Regali's witness statement concerns alleged non provision of services by Hybrid *before* Mr Reid was a director of the company.

35. Mr Benediktsson witness statement refers to having contact with Mr Reid when Hybrid was first engaged by him, that is all. He makes no adverse comments about Mr Reid.[9]

36. Ms Jessica Rose Smith's witness statement does not refer to Hybrid Hive save to annex the company's invoices to her statement. She refers to FFG in her witness statement in relation to claims made in periods when Mr Reid was a not a director that company.

37. The Decision Letter does not seem to have decided Mr Reid's involvement or

[6] T Documents, T18, p 599, paragraph 5.
[7] T Documents T64.1 p1340 – 1341.
[8] T Documents, T64.1, p1341,
[9] T Documents T29

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culpability in relation to these allegations above save to give minimum weight to the material.

38. It is unfortunate the Decision Letter is not clearer as to what is the final decision.

39. In any event Mr Reid says he was not involved in the above matters and was unaware of them.

Reports of suspicious Invoices

40. The Decision Letter refers to 11 separate reports of suspicious invoice from FFG and Hybrid Hive at paragraph 29(h)(v).

41. Mr Reid submits he has no knowledge of the matters the subject of the allegation. At all material times he understood Hybrid Hive (or FFG) only billed for services and supports requested and consented to by NDIS participants and they were actually provided. At no time did he suspect otherwise or was aware of matters to the contrary.

42. He also states that whilst he was a director of both FFG or Hybrid Hive, from time to time, he had limited involvement in the companies and in particular their day-to-day operations.

43. Furthermore, from the documents produced, it is submitted that the Commission admits it has *limited* information about Mr Reid's actual involvement in the companies' operations and considers him to have been the *"absent boss most of the time"*.[10] That is correct, because as Mr Reid contends, he was not regularly involved in their day-to-day operations.

44. This is also corroborated by Ms Fanny-Dulloo who states, 'he had no involvement with FFG'.[11]

45. She stated to NDIS investigators, *"It's the same. Like, you know, we – we worked – like, he wasn't even – he wasn't really around in the office at all. So – so we didn't really see him. Or he would come just to make sure everything is – is going okay, and – and then, he would go and do – you know, I don't know what he did, but he's not – he was not in the office. We don't really see him unless if there's something very important that needed to be discussed between the management team, and then he will be here, but otherwise he's not really here."*[12]

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[10] T Documents, T9.11, p 225.
[11] T Documents T58 p 1178
[12] T Documents T58 p 1179

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46. Another Commission witness, Jonathan Charles Shapiera, states *"At HH[13] I dealt with Simon Reid ...Since I started with FFG[14] I have been happy with the services I have received".*[15]

47. The Decision Letter at paragraph 38 states it appropriate to attribute liability to Mr Reid of corporate wrongdoing of the companies he was a director, when he was a director. He should have been aware of Hybrid Hive's alleged conduct.

48. Specifically, the Decision Letter states at paragraph 38 that:

> *'It is appropriate to attribute liability to Mr Reid for the wrongdoing of the corporate entity he directs and the conduct of the workers employed or otherwise engaged by that company.*
>
> *The law regards Mr Reid as being in a position of responsibility, authority and control over Hybrid.*
>
> *A person who stands in such a position and is able to exert significant influence over the planning, directing and controlling of the activities of an entity can be, appropriately held accountable for impropriety caused by the corporate entity (or its officers).*
>
> *Additionally, it is worth noting that company directors are subject to a range of legal duties under the Corporations Act 2001. Primary amongst these is the duty to act with care and diligence (under section 180 of the Corporations Act). Directors must exercise their powers and discharge their duties with the degree of care and diligence that a reasonable person would exercise if he or she were a director in the company's circumstances and had the same responsibilities of that director.*
>
> *I my view, this duty requires a director to be familiar with, stay informed and make appropriate enquiries about the company's activities.*
>
> *Mr Reid should have been aware of the conduct allegedly being engaged in by, and within Hybrid.'*

49. In terms of the application of the law in relation to the comments set out in the Decision Letter, the law has NOT been applied in accordance with established

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[13] Hybrid Hive.
[14] Forward Focussed Group.
[15] T Documents, T19, p 631, paragraphs 10 and 11.

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precedent and the Decision Letter at paragraph 38 is simply wrong in everything that has been set out above. The following points are submitted to the Tribunal.

(a) There is no principle of strict liability that exists in the *Corporations Act 2001* (Cth) as it relates to company directors in terms of section 180 and nowhere in the NDIS Act is any similar notion of strict liability introduced for company directors. The Decision Letter cites no precedent, authority, or legislative provision for the assertion that is made.

(b) There is no principle of strict liability that exists in the *Corporations Act 2001* as it relates to company directors for the conduct of workers employed or otherwise engaged by a company and nowhere in the NDIS Act is any similar notion of strict liability introduced for company directors. The Decision Letter cites no precedent, authority, or legislative provision for the assertion that is made.

(c) The law does not impute to Mr Reid that he is in a position of responsibility, authority or control over Hybrid. The law simply regards Mr Reid as a director of Hybrid for the times that he is a director of Hybrid and at those times, depending on a review of the actual material facts relating to the conduct and behaviour of Mr Reid, it may be that he has acted in a position of responsibility, authority or control over Hybrid. The information put forward in the Decision Letter makes it clear that Mr Reid was regarded as the *'absent boss most of the time'*, which is, *prima facie*, totally the opposite of being in a position of responsibility, authority or control. The Decision Letter makes no review of any material facts relating to the conduct and behaviour of Mr Reid, to be able to make any determination that he was a person of responsibility, authority or control over Hybrid.

(d) It is correct that a person who stands in a position of responsibility, authority or control and who is able to exert influence over the planning, directing and controlling of the activities of an entity, can be, appropriately, held accountable for the impropriety caused by the entity or the officers of the entity. In terms of Mr Reid, the Decision Letter makes no review of any material facts relating to the influence of Mr Reid over the planning, directing and controlling of Hybrid. Without such a review of the relevant facts, the statement simply has no relevance to Mr Reid and is mere puffery.

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(e) The general statement in the Decision Letter pertaining to the duties of directors under section 180 of the Corporations Act 2001 correctly states the position set out by *Daniels v AWA Ltd*[16] and subsequent cases, which is: *'Directors must exercise the degree of care and diligence that a reasonable person would exercise in the company's circumstance and with the same responsibilities as the director'*.

(f) However, the Decision Letter makes no review of any material facts that set out what the responsibilities of Mr Reid were or what the company's circumstances were. Again, all that we are left with is the finding of the Commission that Mr Reid was the *'absent boss most of the time'*. That finding, which is the only relevant finding, strongly suggests that the responsibilities of Mr Reid were very limited. Consideration must be given to the type of company involved; the size and nature of its business or businesses; the provisions of its constitution; the composition of the board and the distribution of the work between the board and other officers; the status of the company as a listed or unlisted entity; and, in the case of a parent company, the size and nature of the businesses of its subsidiaries if they are under the general supervision of the parent: *Australian Securities & Investments Commission v Rich*[17], which was not done.

(g) The Decision Letter expresses an opinion of the author about what a director should be doing in a corporation, but it has no reference to Mr Reid (the specific director) and it has no reference to Hybrid (the specific company). Further, it makes no finding about what enquiries Mr Reid made of the employed staff and it makes no reference to what a reasonable person would have done in the circumstances of Mr Reid - perhaps because there had been no determination made of the circumstances of the company and the responsibilities of Mr Reid by which to involve the reasonable person. Assessing what a reasonable person would have done is essential to determining the reasonableness of Mr Reid's actions, as set out in *Permanent Building Society (in liq) v Wheeler*[18], which was not done.

(h) The Decision Letter determines that Mr Reid should have been aware of the conduct allegedly being engaged in by, and within, Hybrid and it does so without any of the fore mentioned specific requirements of section 180 of the

[16] (1995) 13 ACLC 614.
[17] [2009] NSWSC 1229.
[18] (1994) 11 WAR 187.

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Corporations Act 2001 (Cth) being addressed and even more concerning, is that it makes a positive finding that Mr Reid should have known about what is alleged to have taken place, not what actually was taking place, and then allocates culpability to Mr Reid for those allegations, as if they were facts, but they are merely unproven allegations.

(i) In making a determination about the responsibilities of Mr Reid as a director, the Decision Letter would need to have addressed the issues raised in *Australian Securities & Investments Commission v Vines*[19], which requires a detailed consideration of all of the tasks allocated to the director and all the circumstances surrounding his role, which was not done. There would have needed to be a further consideration of the application of *Australian Securities & Investments Commission v Rich*[20], pertaining to other functions of Mr Reid, which was not done, and a determination made whether Mr Reid was a non-executive director or an executive director, as set out in *Daniels v Anderson*[21], which was not done.

(j) Further, a director's statutory duty to exercise a reasonable degree of care and diligence cannot be defined without reference to the nature and extent of the foreseeable risk of harm to the company that would otherwise arise. No act or omission is capable of constituting failure to exercise care and diligence under the section, unless at the relevant time it was reasonably foreseeable that the act or omission might cause harm to the interests of the company: *Vrisakis v Australian Securities Commission*[22], which was not done.

The Applicant's Alleged Involvement in the NDIS Sector since Banning Order

50. The Decision Letter claims that Mr Reid made various attempts to remain in the NDIS sector despite a prohibition against his engagement in the sector.[23]

51. In particular this was in relation to two companies – Vitality WA Pty Ltd and Dream Big Employment Pty Ltd.

52. Mr Reid was never given an opportunity to respond to these claims. He responds as follows.

[19] (2005) 55 ACSR 617.
[20] (2003) 174 FLR 128.
[21] Ibid.
[22] (1993) 9 WAR 395.
[23] T Documents, T1.1, p 22, 41-43.

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Vitality WA Pty Ltd

53. The Commission alleges Mr Reid sought to be *"involved in business that have links to NDIS"*. An adverse finding is made because this is an attempt *"…to remain involved in the NDIS sector…"* and he is finding *"…strategic or tactical ways to the circumvent the terms of the banning order"*. On that basis it was necessary to broaden the banning order[24]

54. The basis of the above is an email Mr Reid sent to several persons on 9 February 2023 encouraging them to work for his business Vitality WA Pty Ltd (**VWA**).[25] The email explains that Mr Reid's business is seeking to provide *"support service to disability providers".* Put simply the intention was the VWA would be a labour hire business.

55. VWA is not a NDIS service provider, it does not provide any direct or indirect support and services to NDIS-funded participants, and it does not provide support, funding or guidance to a NDIS provider.

56. The business was never intended to directly engage with any NDIS participants or in due course seek to make claims or payment from the Commonwealth.[26] That is the two critical elements the banning order sought to prevent vis-à-vis Mr Reid.

57. Accordingly, it is a nonsense to suggest that VWA was a vehicle to circumvent the banning.

Dream Big Employment Pty Ltd

58. In summary it is alleged Mr and Mrs Reid operated Dream Big Employment Pty Ltd (**DBE**) or were 'behind' it notwithstanding the banning orders.

59. Mr Reid denies the allegation.

60. In particular the Commission alleges Mr Reid was involved in this business and in support of this relies substantially on the witness statement of Cassandra Burke dated 16 February 2023 namely at paragraphs 45 – 72.[27]

61. There are a number of concerning aspects to the witness statement of Ms Burke and what the Commission has apparently considered to be probative evidence. In particular:

    (a) Paragraph 45 – no details are given as to the source of the information;

[24] T Documents T64.1 p 1344.
[25] T Documents, T65.1 p 1348
[26] T Documents T65.1 p 1351
[27] Ibid.

(b) Paragraph 52 – the statement is in effect hearsay on hearsay;

(c) Paragraph 58 – the statement refers to an email which is not annexed to the witness statement;

(d) Paragraph 72 – statement is based on rumour, speculation and hearsay. No details are given as to the source of the statement; and

(e) Paragraph 73 – is completely irrelevant.

62. Additional concerning aspects to the Burke witness statement are as follows:

(a) Paragraphs 45 and 52 concern NDIS participant Jonathan Shapiera. However, there appears to have been no attempt by the Commission to seek his version of events. He had provided a witness statement, prior to Burke, which was favourable to Mr Reid;[28]

(b) Paragraph 52 – is contradicted by another witness - Ms Virginie Fanny-Dulloo;[29] and

(c) Paragraph 72 – is contradicted by another witness - Ms Virginie Fanny-Dulloo.[30]

63. Indeed, Ms Fanny-Dulloo wholly discredits the allegation Mr Reid (or even Mrs Reid) operated DBE or had any *real* involvement.

64. As to DBE, Mr Reid simply submitted the ASIC form for the founders of DBE *"as we did not know how to do this and were out of jobs and fearful of not being able to put food on the table. It was only a good deed nothing more to help the ex-employees".* As to Mrs Reid, she merely allowed a DBE participant rent one of her properties.[31]

65. The Respondent further alleged that Mr Reid is indirectly involved with Dream Big by using his mother, Ms Veronica Reid, as the only shareholder. That is rejected.

66. The Applicant denies any involvement save that referred to above. Accordingly there is no basis for the findings in the Decision Letter in relation to VWA and DBE.

Mr Reid challenges the Decision Letter and his banning – contends he has done nothing wrong

67. The Decision Letter ultimately issued an amended banning order because:

(a) Mr Reid's alleged involvement in the NDIS sector post original banning order.

[28] T Documents T19 p 631
[29] Documents T58 p 1270
[30] T Documents T58 p 1263 - 1268
[31] T Documents T58 p 1143 See also p 1270.

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For the reasons referred to above it is open to the Tribunal to find such grounds do not exist. For the reasons referred to below it is submitted that the amended order was excessively wide and unreasonable; and

(b) of ongoing investigations of law enforcement agencies and the NDIA into fraud allegations against Mr Reid.[32]

68. As to the latter the following is submitted.

69. Throughout that entire time the Respondent has constantly sought to link Mr Reid to the criminal charges against his wife, Vida Reid, asserting they were a relevant consideration.[33]

70. This was notwithstanding that the 'link' was based on very tenuous grounds.[34]

71. This was also notwithstanding the Commission knew the criminal charges were 'weak'. In this regard we refer to a Commission internal document described the purported breaches of Mrs Reid as in the nature of *"administrative and personal errors".*[35]

72. Unsurprisingly on [insert] the criminal charges against Mrs Reid were dropped.[36]

73. Accordingly it is submitted that the charges are not a relevant consideration for the Tribunal, and it is not appropriate for the Respondent to continue to rely on the now defunct criminal proceedings against Mrs Reid in relation to the assessment of Mr Reid's *"suitability".*[37]

74. As to ongoing investigations into alleged fraud against NDIS involving Mr Reid, there is no documentation before the Tribunal that such investigation are in fact ongoing or current and it is submitted that there is simply a lack of adverse evidence against Mr Reid.

<u>The Role of the Tribunal</u>

75. The Role of the Tribunal is to either affirm the prior decision or to *substitute the correct or preferable decision standing in the shoes of a decision maker.*[38]

76. In the present proceedings it is the role of the Tribunal to determine under section

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[32] T Documents T61.1 p1345
[33] T Documents, T1.1, p 21, 37.
[34] Mr Reid is briefly mentioned in a 19 October 2022 Statement of Material Facts V Reid. SeeT-Doc T8.
[35] [insert]
[36] [insert]
[37] T Documents, T64.1 p 1340
[38] *Kerr at p 2 and 3*

73ZN(2)(a) (iii) whether Mr Simon Reid is or is not suitable to be involved in the provision of supports or services to people with disability, having regard to the NDIS Rules. None of the other subsections to section 73ZN(2)(a) are applicable.

Mr Reid's contentions

77. It is Mr Reid's central contention that he has done nothing wrong vis-à-vis claims to NDIS. He has not breached the NDIS Act and that there is no basis to the current banning order. He is suitable to be involved in the provision of supports or services to people with disability. Further and as referred to below there is no probative evidence in support of the banning order or, at the least, as to its unreasonably wide ambit.

78. He contends that, put simply, the T-documents contain a significant lack of evidence that Mr Reid 'was not and is not' suitable to be involved in the provision of supports or services to people with disability.

79. Throughout these proceedings the Respondent has maintain vague, nebulous claims that Mr Reid was involved in all aspects of Mrs Reid's NDIS businesses and that he was inseparable to the fraud claims against Ms Reid.

80. The Respondent has also made generalised claims that there were NDIS participants who were 'fearful' of raising complaints and that Mr Reid was responsible or connected to this fear. The claims extended to him generally not being suitable to being involved in the provision of supports or services to people with disability.[39]

81. He denies the claims and notes the lack of probative evidence in produced by the Respondent in support of these claims.

Rules of evidence in the Tribunal

82. Section 33(1)(c) of the Administrative Appeals Act 1975 (Cth) states **"***the Tribunal is not bound by the rules of evidence but may inform itself on any matter in such manner as it thinks appropriate".*

83. Relevantly, His Honour Justice Kerr has said:

> *"The task of a merits review tribunal is to give such weight to whatever relevant evidential material is before it as it determines it ought to bear: Hill J in Casey v Repatriation Commission (1995) 60 FCR 510 at 514 and Secretary*

[39] [insert]

> *Department of Social Security v Jordan (1998) 83 FCR 34 at 43. This is not to suggest that a merits review tribunal is unconstrained in that regard. Modern tribunals are almost always obliged to give reasons. If the weight placed upon particular evidence leads to the tribunal making a decision which is so unreasonable that no reasonable decision-maker could have arrived at it reviewable legal error will have occurred; Associated Provincial Picture Houses Ltd v Wednesbury Corporation [1948] 1 KB 223 a review ground reinvigorated by the recent decision of the High Court in Minister for Immigration and Citizenship v Li [2013] HCA 18 (8 May 2013). Legal error may also be shown if the reasoning processes of the tribunal are irrational or illogical."*[40]

84. In additional to questioning the value or merit of much of the evidence the Respondent is relying on, there is criticism of the Respondent's investigation and ultimately the evidence that is or is not before the Deputy President.

The Respondent's investigation

85. An administrative decision maker should be unbiased and act fairly. They should comply with the rules of natural justice.[41]

86. However it would seem that the Respondent, at least in course of its investigation and ultimately the material the Respondent produced to the Tribunal may be the product of a party not having always acted without bias or fairly.

87. In this regard it is submitted that at no time did the Commissioner's investigators interview Mr and Mrs Reid before the banning orders were made. The Commissioner's investigators never questioned Mr and Mrs Reid about their relationship with any of the witnesses.[42] Critically the Commissioner's investigators never questioned them about any particular invoices or claims made against NDIS.

88. Indeed, the investigators never bothered to actually ask Mr Reid what his day-to-day involvement was with FFG, Hybrid Hive, VWA and DBE – or what he had to say about the particular allegations or claims relied upon to ban him or as to the scope of the orders.

89. The Respondent has produced several witness statements. A number of whom Mr

[40] [insert]
[41] *Kerr p 3*
[42] For example, former employees.

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Reid contends are elderly or suffered from mental health issues. However the respective interview transcripts from which the statements were created from have not been produced save belatedly that of Ms Fanny-Dulloo.[43]

90. Of the only one transcript produced, it is revealing as to the manner the Respondent's Investigators conducted that particular interview:

> *"INVESTIGATOR READ: So, with your skill set and everything, did you look at considering moving on away from the Reids? Because, you know the saying, "No" – you know, the saying, "No smoke without fire," or Because, you know the saying, "No" – you know, the saying, "No smoke without fire," or whatever but, you know, was it a concern to you that, you know, a government agency had made decisions against them?*
>
> *Ms FANNY-DULLOO: No, because it's allegation. I don't – I don't think it's true.*
>
> *Investigator Read: But - - -*
>
> *Ms FANNY-DULLOO: Like, it's not true. Like - - -*
>
> *INVESTIGATOR READ: - - - could you be blinded to that though?*
>
> *Ms FANNY-DULLOO: No.*
>
> *INVESTIGATOR READ: No?*
>
> *Ms FANNY-DULLOO: No."*[44]

And

> *"INVESTIGATOR READ: So, there's a bit of a – bit of a link going on there, isn't there, as to some of the money or the ownership of Dream Big actually, one way or another, slithering its way to Simon and Vida."*[45]

[43] T Document T58
[44] Ibid at p 1183
[45] Ibid at p 1198

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91. At least in relation to the above interview it can be concluded that the Respondent's investigators did not take a neutral stance in carrying their investigation. It is open to the Tribunal to find that there was a clear adversarial bias against Mr Reid.

92. One wonders how the other interviews were conducted. Unfortunately much of the source or original material such as transcripts have not been provided to the Tribunal.

93. It is also contended that not all internal Commission evidence or all favourable evidence available to Mr and Mrs Reid found its way to the relevant person and author of the Decision Letter.[46] In this regard the Tribunal's attention is directed to T Document 64 p 1336 – 1337 and (for example) the evidence of Ms Fanny-Dulloo: [47]

> *"I've seen how – how the Reids, like, say – like, whatever it was – Forward Focussed or The Hive – how the Reids treated the people with disability. I've never seen them treated anyone without respect. I had never seen them, like, forcing or anything, like, you know, people to sign up or to, like, not give them the, you know, freedom of speech or whatever it is".*
>
> *"…if one – there's someone in the – who was working for that company turn around and say they were not treated properly by the Reids, I'm sorry, I call that "bullshit". Because they treated everyone with respect and also, like, you know – like, it was never like you can't go and talk to them, like, if you had an issue."*

94. Section 37(1)(b) of the AAT Act states; "*subject to any directions given under section 18B, every other document that is in the person's possession or under the person's control and is relevant to the review of the decision by the Tribunal."*

95. Section 33(1AA) of the AAT Act states *"In a proceeding before the Tribunal for a review of a decision, the person who made the decision must use his or her best endeavours to assist the Tribunal to make its decision in relation to the proceeding".*

96. The following documents have not been produced to the Tribunal and Mr Reid:

(a) Interview transcripts of all persons interviewed by the Respondent;
(b) NDIA 'Tactical Intelligence Report' dated 18 August 2022;
(c) Briefing note EC22002429;
(d) Briefing note EC22002521; or

[46] [insert]
[47] T Documents T58 p1184

(e) Annexures to the witness statement of Cassandra Burke.

Other persons may be banned under the NDIS Act

97. The central allegation against the Mr and Mrs Reid relates to FFG and Hybrid Hive wrongfully making claims against NDIS. However multiple persons were involved in those claims. Yet only Mr and Mrs Reid have been banned.

98. Section 73ZN(2) of the NDIS Act allows for banning orders in relation to *"a person who is or was employed or otherwise engaged by an NDIS provider, or a person who is or was a member of the key personnel of an NDIS provider",*

99. Section 11A defines 'key personnel' as:

> *"(a) a member of the group of persons who is responsible for the executive decisions of the person or entity;*
>
> *(c) any other person who has authority or responsibility for (or significant influence over) planning, directing or controlling the activities of the person or entity."*

100. The above means that other people may be subject to sanction for wrongdoing, not just directors.

101. Mr Reid relied upon and was entitled to rely on others as to the accuracy and correctness of claims, especially the Chief Financial Officer and accounting staff of the corporations, as is specifically provided for in section 189 of the *Corporations Act 2001* (Cth).

102. Yet it appears the Respondent has failed, possibility deliberately so, to investigate any other key personnel of FFG or Hybrid Hive.

103. Indeed, there has been no evidence produced that the Chief Financial Officer of the two companies, Mr Rejaul Alam, was ever questioned by the Respondent's investigators.

104. Currently before the Tribunal, there is no evidence as to who actually produced the invoices in question. No evidence as to why the said invoices were issued or the basis in doing so. Lastly there is no evidence as to Mr Reid directing anyone to raise a false invoice.

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Ambit of current banning order excessively wide

105. At its highest the Decision Letter found Mr Reid to have not provided sufficient oversight of corporate operations. No finding as to fraud was made against Mr Reid.

106. As to working in the NDIS sector post banning, the Respondent's reasoning as outlined in the Decision Letter does not make sense. Either Mr Reid breached the order, or he did not. If he did, then why was it necessary to broaden its scope?[48] If he did not, then he has done nothing in relation to setting up VWA.

107. Given the above, it is submitted that the ultimate orders made on 21 April 2023 can be described as overly excessive to ridiculous. The order states Mr Reid may not have *"…any involvement with or in the NDIS sector, in any capacity"*, this means, for example, he:

    (a) cannot operate a taxi if the passenger, payer or destination is in any linked to NDIS;

    (b) provide handyman services to a property if the customer or property is any way linked to NDIS; or

    (c) sell food from a stall or shop (including as an employee) if the customer or payee is any way linked to NDIS.

108. The orders are grossly disproportionate to what the Respondent found as to Mr Reid's conduct in the Decision Letter and the evidence before the Respondent.

Decision Sought:

109. In the premises of the above, the Respondent contends that the decision dated 21 December 2022, being the decision subject of this review, should be set aside.

Signed by:
Tom Monks
Lawyer for the Applicant

Dated: 10 July 2024

[48] See T Documents T65.1 p1344

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